

ROI Calculator

Return on Investment Analysis

Canada · CAD (CA\$)

fincalcsmart.com/roi-calculator

EXECUTIVE SUMMARY

Healthy

+28.6%

Return on Investment
2 years hold

+CA\$3,000

Net Profit
vs. CA\$10,500 cost

CA\$10,500

Total Cost
incl. CA\$500 extra

93/100

ROI Health Score
Excellent

INVESTMENT COST VS. NET PROFIT

74%

22%

Total projected: CA\$13,500

Initial Cost: CA\$10,000 (74.1%)

Additional Costs: CA\$500 (3.7%)

Net Profit: CA\$3,000 (22.2%)

AI-ASSISTED ROI SUMMARY

This investment returned a final value of CA\$13,500 against a total cost of CA\$10,500, producing a net profit of CA\$3,000 and an ROI of +28.6%. Annualized over the 2 years holding period, this equates to +13.4% per year. The final value exceeds the break-even point of CA\$10,500 by CA\$3,000.

This investment exceeds the target ROI of 25% by a surplus of CA\$375. The target final value was CA\$13,125 and the actual final value of CA\$13,500 is 103% of the target. Additional costs of CA\$500 are included in the total cost base of CA\$10,500.

Over the 2 years holding period, the total ROI of +28.6% equates to an annualized return of +13.4% per year. Annualizing enables comparison across investments with different holding periods on a consistent basis. These figures are pre-tax and do not account for opportunity cost, inflation, or risk.

INPUTS & ASSUMPTIONS

Initial Investment / Cost	CA\$10,000
Final Value / Revenue	CA\$13,500
Additional Costs	CA\$500
Holding Period	2 years
Target ROI	25%

SCENARIO BREAKDOWN

Initial Cost	CA\$10,000
Additional Costs	CA\$500
Total Cost	CA\$10,500
Final Value	CA\$13,500
Net Profit	+CA\$3,000
ROI	+28.6%
Annualized ROI	+13.4% / year
Target ROI	25%
Target Final Value	CA\$13,125
Target Progress	103%
Target Surplus	+CA\$375
ROI Health Score	93/100 (Excellent)

KEY DRIVERS / POSSIBLE ADJUSTMENTS

- ROI Health Score: 93/100 (Excellent). A return of +28.6% on a total cost of CA\$10,500 produces a net profit of CA\$3,000. The break-even threshold is CA\$10,500.
- Target tracking: the investment exceeds the 25% ROI target by a surplus of CA\$375. Target final value was CA\$13,125; actual final value is CA\$13,500 — 103% of the target milestone.
- Annualized return: the total ROI of +28.6% over 2 years equates to +13.4% per year compounded. This enables direct comparison with other investments held for different periods.

METHODOLOGY

What this calculator models:

- Calculates ROI as $(\text{Net Profit} / \text{Total Cost}) \times 100$, where Net Profit = Final Value minus Total Cost (initial cost plus any additional costs). A positive result indicates a gain; a negative result indicates a loss.
- Computes annualized ROI using the compound annual growth rate formula: $(1 + \text{ROI}/100)^{(1/\text{years})} - 1$. This normalizes returns across investments held for different periods.
- Calculates the ROI Health Score from the raw ROI percentage using a linear scale centered at break-even (0% ROI = score 50); strong positive returns score toward 100, losses score toward 0.
- Target tracking: if a Target ROI % is entered, the calculator computes the target final value and the gap or surplus versus the actual final value, expressed as a percentage of progress toward the goal.

What this calculator does not model:

- Taxes on gains, capital gains tax rates, tax-loss harvesting, or jurisdiction-specific tax treatment.
- Risk-adjusted returns, volatility, or opportunity cost relative to alternative investments.
- Inflation — all values are nominal and not adjusted for changes in purchasing power.

EDUCATIONAL DISCLAIMER

This report is for illustrative and informational purposes only. Results are calculated from the values entered and represent a simplified return-on-investment analysis. Actual investment outcomes depend on taxes, fees, financing costs, inflation, market conditions, risk, and other factors not modeled here. The ROI Health Score is a relative indicator based on the entered figures and does not constitute a rating, guarantee, or prediction of investment performance. Target ROI projections are illustrative only. Results do not constitute financial, investment, tax, legal, or business advice. Consult a qualified professional before making financial or investment decisions.